

HEADLINE JUDGMENT

Note: 17 Jun figures are intraday prints captured before the 2:00 PM ET FOMC decision; 16 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score FALLS to 22/30 — the floor of the crisis band — as the oil channel downgrades 3→2.** Brent closed \$78.67 on 16 Jun, the **first sub-\$80 close of the conflict**, confirmed by the 17 Jun intraday (\$79.01), as the deal-driven reopening is priced; the risk premium has collapsed to ~\$6.5/bbl, near pre-war. **The deal is on track:** the formal signing is set for Geneva on Friday 19 Jun, and Trump says the strait will open for **mine removal after Friday's signing** (the US says Iran mined it). Markets are pricing a smooth reopening: Brent -\$12.5/bbl w/w, TTF -€8 w/w, yields ~-12 bp w/w, MOVE 67.28 and VIX 16.41 — both well below pre-war. **The FOMC decides today (2:00 PM ET):** a hold at 3.50–3.75% is near-certain (~97%) — the focus is the dot plot and Chair Warsh's first press conference, into a transformed, disinflating backdrop that undercuts the May 'hike-by-December' pricing; the decision lands after our Singapore-AM snapshot, on the 17 Jun close. **Escalation (4) and maritime (4) hold** pending Friday's signing and the post-signing mine clearance; the **Lebanon front** — Israel says it will keep troops in southern Lebanon indefinitely, with daily Israel–Hezbollah fighting, against Iran's condition — is the main residual friction. 5Y5Y is converging on its 2.20% trigger (0.49 bp above). **The bias stays down:** escalation →3 (Friday signing) and maritime →3 (traffic recovery) would carry the score into the 15–21 systemic-risk-watch band. Sequencing 26 → 23 → 23 → 22.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

17 Jun 2026 readings are intraday prints captured before session close (and before the 2:00 PM ET FOMC) — final settlements may differ. 16 Jun and earlier are final closes (restated continuation series). d/d deltas are 17 Jun intraday vs 16 Jun close; w/w deltas are vs 10 Jun close.

Benchmark	Intraday 17 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$79.01 /bbl	+\$0.34 (–\$12.46 w/w)	from \$72.48 (+9.0%) — below \$80; risk premium ~\$6.5/bbl, near pre-war	CO1 Comdty
Brent · 16 Jun close (carried)	\$78.67 /bbl (vs \$82.21 intraday I reported)	close ran \$3.54 below my intraday — the crash resumed in the US session, breaking <\$80		CO1 Comdty (Close)
WTI front-month	\$75.69 /bbl	+\$0.42 (–\$12.65 w/w)	from \$67.02 (+12.9%) — mid-\$70s	CL1 Comdty
Brent–WTI spread	\$3.32 /bbl	–\$0.08 d/d	steady	derived
Henry Hub natural gas	\$3.25 /MMBtu	+\$0.02 (+\$0.07 w/w)	from \$3.06 (+6.2%) — firm; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€42.01 /MWh	+€0.24 (–€7.98 w/w)	from €31.23 (+34.5%) — down –€8 w/w on the reopening	TZTA Comdty
Japan/Asia LNG (16 Jun print)	¥2,632	–¥176 vs 15 Jun	from ¥1,669 (+57.7%) — rolling over toward the deal	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now well stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

17 Jun 2026 yields are intraday and pre-FOMC — the 2:00 PM ET decision and dot plot will set the close. d/d deltas are 17 Jun intraday vs 16 Jun close; w/w deltas are vs 10 Jun close.

Tenor	Yield (%) — intraday 17 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.05	–0.4	–9.6	+67 (from 3.37%) — hike pricing unwinding into the FOMC	USGG2YR Index
5-year UST	4.15	–0.9	–12.5	+65 (from 3.50%)	USGG5YR Index
10-year UST	4.43	–0.8	–12.1	+49 (from 3.94%) — 21.8 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.94	–0.8	–9.4	+33 (from 4.61%) — below 5.00% (Treasury reverted 5→4 on 11 Jun)	USGG30YR Index
2s10s spread	+38 bp	+0.1	–2.3	–17 (curve normalizing)	USYC2Y10 Index
10Y breakeven inflation	2.30	+0.0	–4.3	+4 (from 2.26%) — near pre-war as oil falls	USGGBE10 Index
5Y5Y forward inflation	2.20	–0.3	–0.4	+6 (from 2.14%) — 0.5 bp above the 2.20% trigger (US-inflation at 4)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	99.50	17 Jun intraday	+1.90 (from 97.61)	Easing (−0.04 d/d, −0.44 w/w) as the safe-haven bid unwinds. Still above pre-war; no Stage-4 dollar-break.
MOVE Index (bond vol)	67.28	16 Jun (lagged)	−6.10 (from 73.38)	Falling further below pre-war (69.38→67.28) — approaching the 65 leg of the Treasury →3 trigger. Far below the 130 Stage-4 level.
VIX (equity vol)	16.41	16 Jun (lagged)	−3.45 (from 19.86)	Holding near a conflict low — deep risk-on as the deal holds and the FOMC hold is priced.
US gasoline retail avg	\$4.67 /gal	15 Jun (latest print)	+\$1.15 (from \$3.52, +33%)	Below the \$4.75 threshold (political-stress at 4); still falling with crude toward the \$3.52 pre-war level.

Strait operational state

Indicator	Current reading	Source
Deal status — signing Fri 19 Jun	The MOU was signed digitally on 15 Jun; the formal ceremony is set for Geneva/Switzerland on Friday 19 Jun (Pakistan-mediated). It extends the ceasefire 60 days and lifts the US blockade.	NPR / NBC / ABC
Strait reopening / mine removal	Trump says the strait will open for mine removal after Friday's signing — the US says Iran laid mines in the strait. Physical reopening therefore lags the signing; traffic is still ~5% of normal.	NPR / AP
FOMC (today, 2:00 PM ET)	Decision + dot plot at 2:00 PM ET; Chair Warsh's first press conference at 2:30. A hold at 3.50–3.75% is ~97% priced; the path signals matter into a now-disinflation backdrop (oil <\$80, breakevens near pre-war).	CME FedWatch / Fed
Lebanon front — residual friction	Iran made an end to Israel–Hezbollah fighting in Lebanon a condition; Israeli DM Katz says Israel will keep troops in southern Lebanon indefinitely, and daily fighting continues despite the official ceasefire.	NPR / CNN
Nuclear / sanctions	Iran's nuclear program (HEU disposition, sanctions relief) is unresolved and reserved for the 60-day talks — the hard next phase.	NPR / Axios
Vessel traffic vs pre-war norm	~5% of the pre-conflict norm; analysts expect the security reopening to be quick but commercial-shipping normalization to be gradual (mines, insurance, re-routing).	Reuters / NBC

2 · US economic shock — analysis with bond yields

The US economic shock falls to the floor of **Stage 3** (22/30) as oil breaks below \$80 and the war's premium drains out of the complex. With the reopening priced for Friday, the residual elevation is concentrated in the structural channels (maritime denial until traffic recovers; escalation until the formal signing) and a near-pre-war rates picture. Today's FOMC — a near-certain hold with a new Chair and fresh dots — meets a backdrop transformed from the early-June hike scare. The bias is firmly down toward the 15–21 systemic-risk-watch band. No Stage-4 signal; the dollar is easing, not breaking.

2.1 · Bond-yield transmission

17 Jun yields are intraday and pre-FOMC; d/d vs 16 Jun close, w/w vs 10 Jun. **Oil downgraded 3→2; score 23→22.** Brent closed \$78.67 on 16 Jun (first sub-\$80 close), confirmed by the 17 Jun intraday (\$79.01). Yields keep grinding lower: 10Y −12.1 bp w/w to 4.4316%, 30Y −9.4 bp w/w to 4.9354%, 2Y −9.6 bp w/w — the hike pricing unwinding into the FOMC.

(i) Inflation anchor — converging on the trigger. 5Y5Y forward at 2.2049% intraday (2.2075% close 16 Jun) is just 0.49 bp above the 2.20% trigger and easing as oil falls; 10Y breakeven 2.30% is near pre-war (−4.3 bp w/w). US-inflation holds at 4; a sustained close ≤2.20% heading toward the 2.142% pre-war anchor would take it to 3.

(ii) Long-end — steady below 5.00%, vol approaching the 65 leg. 30Y at 4.9354% intraday (−9.4 bp w/w) holds below 5.00% with MOVE at 67.28 — Treasury-stress stays reverted at 4. A move to 3 needs 30Y <4.50% with MOVE <65: MOVE is closing on 65, but 30Y at 4.94% is still well above 4.50%, so not yet. 10Y at 4.4316% is 21.8 bp below the 4.65% trigger.

(iii) Oil — downgraded to 2; below \$80. Close path: \$82.24 (15 Jun) → \$78.67 (16 Jun, first sub-\$80 close) → \$79.01 intraday (17 Jun). Risk premium ~\$6.5/bbl (+9.0% vs pre-war), collapsing as the reopening is priced. **Oil channel 3→2.** A further grind toward the \$72.48 pre-war level (sustained) would take it to 1; a renewed >\$95 spike (e.g. a deal collapse) would restore it to 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the deal has moved the complex far from it. The live question is the pace of normalization *down* from Stage 3.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 5.00% and bond vol below pre-war, the next 30Y auction should price comfortably.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.9354% is 26 bp below the 5.20% trigger; 10Y 4.4316% is 21.8 bp below 4.65% — both well clear and falling.

Threshold C · MOVE above 130. Unwound. MOVE 67.28 and VIX 16.41 are both below pre-war (near conflict lows). HY OAS not in the BBG sheet — the risk-on tone argues for tightening.

2.3 · Cross-asset

The dollar eased to 99.50 with the safe-haven bid unwinding; bond vol (67.28) and equity vol (16.41) are both well below pre-war. Oil, breakevens, TTF and Asia LNG are all converging on — or through — pre-war levels; Henry Hub (never Hormuz-exposed) is firm. The complex is now positioned for the FOMC and Friday's reopening rather than carrying a live war premium. The one swing factor today is the

FOMC path signal: a dovish dot-plot shift would accelerate the rates normalization, a hawkish Warsh surprise would slow it.

3 · Shock score

Total: **22/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4. The reopening is set for after Friday's signing, with mine removal to follow — traffic is still ~5% and the physical denial persists. The security reopening should be quick, commercial recovery gradual.	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions → to 3.
Oil price shock	2/5	DOWNGRADED 3→2. Brent closed \$78.67 (16 Jun), the first sub-\$80 close, confirmed by the 17 Jun intraday (\$79.01). Risk premium ~\$6.5/bbl (+9.0% vs pre-war), collapsing as the reopening is priced.	↑ Brent >\$95 sustained → back to 3. ↓ Brent toward the \$72.48 pre-war level sustained → to 1.
US inflation impulse	4/5	Held at 4. 5Y5Y 2.2075% close (16 Jun), 2.2049% intraday — just 0.49 bp above the 2.20% trigger and easing; 10Y BE 2.30%, near pre-war. Converging on a downgrade.	↑ 5Y5Y clearly rising >2.20% → back to 5. ↓ 5Y5Y ≤2.20% toward the 2.142% pre-war anchor → to 3.
Treasury stress	4/5	Held at 4. 30Y 4.9354% intraday (<5.00%) with MOVE 67.28 (<75, nearing 65). Reverted on 11 Jun; the hike pricing is unwinding into the FOMC.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.67 (15 Jun), below the \$4.75 threshold and still falling with crude on a ~16-session downtrend from the \$5.18 peak.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	4/5	Held at 4. The MOU is signed digitally with the formal ceremony Friday; calm holds. But the Lebanon front is live — Israel to keep troops in southern Lebanon indefinitely, daily Israel–Hezbollah fighting — and nuclear talks remain. Not yet a 3.	↑ deal collapse / fresh strikes → back to 5. ↓ formal signing + reopening + sustained calm → to 3 (teed up for Friday).
TOTAL	22/30	Crisis band — at the floor (23→22). Oil broke below \$80 (3→2) as the reopening is priced. The bias stays down: escalation →3 (Friday's formal signing + calm) and maritime →3 (traffic recovery) would carry the score into the 15–21 systemic-risk-watch band; US-inflation and Treasury are also edging toward 3.	

4 · What's changed since the last edition (16 Jun AM → 17 Jun AM)

Score falls to 22/30 — oil downgraded 3→2. Brent closed \$78.67 on 16 Jun, the first sub-\$80 close of the conflict, confirmed by the 17 Jun intraday (\$79.01). The floor of the crisis band. Source: Bloomberg 16 Jun close.

Oil break below \$80. The US-session crash resumed (Brent –\$3.54 from my AM read); risk premium ~\$6.5/bbl, near pre-war. Brent –\$12.5/bbl w/w, WTI –\$12.7 w/w, TTF –€8 w/w. Source: Bloomberg / NBC.

Deal on track for Friday. Formal Geneva signing set for Friday 19 Jun; the strait opens for mine removal after the signing (the US says Iran mined it). Physical reopening lags; maritime holds at 4. Source: NPR / AP.

FOMC today (2:00 PM ET). A hold at 3.50–3.75% is ~97% priced; the dot plot and Chair Warsh's first press conference are the focus, into a disinflating backdrop that undercuts the May hike-by-December pricing. Lands after our Singapore-AM snapshot. Source: CME FedWatch / Fed.

Lebanon — the residual friction. Israel says it will keep troops in southern Lebanon indefinitely and daily Israel–Hezbollah fighting continues, against Iran's condition for the deal. Escalation holds at 4 with this watch. Source: NPR / CNN.

16 Jun close vs my intraday. Brent \$78.67 vs my \$82.21 (–\$3.54) — the crash resumed in the US session, breaking <\$80; 30Y eased to 4.9434%, MOVE to 67.28 (\$9). Source: Bloomberg 16 Jun close.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait reopens, normalization	59%	Friday's Geneva signing proceeds; mine clearance and reopening begin; traffic recovers; nuclear talks advance. +1 ppt as oil breaks <\$80 and markets price a smooth reopening.	Brent \$68–80; 30Y 4.5–4.9%; MOVE <70; score normalizes into the 15–21 band and below.
Slow / partial implementation	26%	Ceasefire holds and the strait reopens, but commercial shipping normalizes gradually (mine clearance, insurance, verification). The base friction case.	Brent \$78–88; yields stable; modest residual risk premium ~\$4–8/bbl.
Signing stumble — Geneva slips	8%	The Friday ceremony slips or the nuclear/HEU and sanctions terms snag; rhetoric hardens without a return to strikes. –1 ppt as the signing nears.	Brent \$85–95; yields drift up; risk premium rebuilds toward \$10–15/bbl.
Ceasefire breakdown / re-escalation	5%	A provision collapses — the Lebanon front (Israel troops, daily fighting) is the most likely trigger — and strikes resume.	Brent \$110–130; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward 27–28.
Major regional relapse	2%	Multi-front relapse with the strait re-closed/mined. Tail risk, much reduced by the signing.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 16 Jun edition: deal-holds normalization +1 (58→59), signing-stumble –1 (9→8); slow/partial (26%), breakdown (5%) and regional relapse (2%) held. Driver: Brent breaking below \$80 and the orderly run-in to Friday's Geneva signing firm the constructive path. Counterweight, holding the breakdown bucket at 5%: the Lebanon front remains unresolved (Israel will keep troops in southern Lebanon indefinitely, daily fighting continues) against Iran's stated condition, and the nuclear/HEU and sanctions terms are the hard 60-day

phase still to come.

6 · Watchlist · next 24–72 hours

FOMC today (2:00 PM ET) — the macro swing. A hold is ~97% priced; the dot plot and Chair Warsh's first press conference are the focus. Into a disinflating backdrop (oil <\$80, breakevens near pre-war), a dovish path signal would accelerate the rates normalization (Treasury toward 3); a hawkish Warsh surprise would slow it. Lands after our snapshot, on the 17 Jun close.

Formal Geneva signing (Fri 19 Jun) — the geopolitical pivot. The signing, blockade removal and the start of mine clearance would take escalation-risk to 3 and begin maritime normalization.

Oil toward pre-war. Brent \$79.01, risk premium ~\$6.5/bbl. A sustained grind toward the \$72.48 pre-war level would take the oil channel 2→1; a deal collapse / >\$95 spike would restore it to 3.

5Y5Y ≤ 2.20% — US-inflation toward 3. 5Y5Y is 0.49 bp above the trigger and easing with oil; a sustained move below, toward the 2.142% pre-war anchor, takes the channel 4→3.

MOVE toward 65 / 30Y — Treasury toward 3. MOVE 67.28 is nearing the 65 leg, but 30Y at 4.94% must fall below 4.50% for the downgrade — both legs are required.

Lebanon front. Israel's troop presence and daily Israel–Hezbollah fighting against Iran's condition is the most likely route to a breakdown — the key residual risk to the de-escalation.

Strait traffic recovery — maritime to 3. Once mine clearance and reopening begin, watch verified vessel-traffic: >25% of normal sustained for ten sessions takes maritime-denial 4→3.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. NPR, AP, NBC, ABC, PBS, Reuters, Bloomberg, FT, WSJ, CNBC, CNN, UK House of Commons Library; Federal Reserve / CME FedWatch (FOMC 17 Jun, hold ~97% priced, dot plot + Chair Warsh's first presser), UN, G7, EIA, IAEA. The Friday Geneva signing, the post-signing mine-removal reopening (US says Iran mined the strait) and the Lebanon friction (Israeli troops, daily fighting) via NPR / AP / CNN.

Tier 3 — state media (labelled). Iranian statements on implementation timing and the Lebanon condition are labelled and corroborated against NPR / AP / Reuters; Xinhua, TASS, Tasnim, Fars, Press TV used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday (17 Jun is pre-FOMC); reclassify the prior session as a final close (16 Jun) and capture any restatement.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 10 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close through a trigger (this edition: oil 3→2 on the first sub-\$80 Brent close). Escalation-risk is event-based, held at 4 pending Friday's formal signing.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 16 Jun US session resumed the oil crash, breaking <\$80 after a flat AM read).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with today's FOMC, Friday's Geneva signing, and the queued downgrades (escalation, maritime, US-inflation, Treasury).

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger — this edition oil downgraded 3→2 on the first sub-\$80 Brent close (16 Jun), confirmed by the 17 Jun intraday. Escalation-risk is event-based and reverts on a signed deal / verified CBMs / sustained calm.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent (+9.0%), breakevens (+4 bp), MOVE and VIX (both below pre-war) are now at or near these levels; the residual score is structural pending the strait's physical reopening.

Intraday caveat — today is pre-FOMC. The latest dated row is a Singapore-AM intraday snapshot; today's 2:00 PM ET FOMC decision, dot plot and Chair Warsh's first press conference land after it and will set the 17 Jun close. The 16 Jun close again diverged from my AM read — the US session resumed the oil crash, breaking below \$80. Market-channel triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.